FRCC Document Classification: Public – This document may be shared freely with no access or use restrictions.

FRCC 1920 Long-Term Regional Transmission Planning Process

FRCC-MS-PL-731

Effective Date: 11/1/2026

Version: 0

3001 N Rocky Pointe Dr E, Suite 410
Tampa, Florida 33607-8410
(813) 289-5644 - Phone
(813) 289-5646 – Fax
www.frcc.com

The original signatures are maintained on file.

TITLE	NAME	DATE
Version Author	Mark Wehlage	MM/DD/YY
Document Review Authority	Regional Projects Subcommittee	MM/DD/YY
Document Owner/Approval Authority	FRCC Planning Committee FRCC Board of Directors	MM/DD/YY

Document Subject Matter Expert: FRCC Senior Director Planning
Original Author: Order 1920 Task Force
Responsible Department: Planning
Review Cycle: 5 years
Last Date Reviewed: MM/DD/YY
Next Planned Review Date: MM/DD/YY
Retention Period: Permanent
File Name: frccmspl731_1920_trans_plng_process
Document ID #: FRCC-MS-PL-731

Table of Contents — Page

1.0 Purpose 4
2.0 Terms and Definitions 4
3.0 Background 6
4.0 Applicability (examples shown) 6
5.0 Responsibilities 6
6.0 Policy/Procedure/Process 7
7.0 Document Distribution/Notification Requirements 33
8.0 References 33
9.0 Attachments 33
10.0 Review and Modification History 33
11.0 Disclaimer 33
Attachment A: Name of Attachment A 6

1.0 Purpose

This document …

The objective of the FRCC Regional Transmission Planning Process (“Planning Process,” “Regional Plan” or “RTPP”) is to ensure coordination of the transmission planning activities within the FRCC Region in order to provide for the development of a reliable, cost effective and efficient transmission network in the FRCC Region. The RTPP is intended to develop a reliable, cost effective and efficient regional transmission plan to meet the existing and future requirements of all customers/users, providers, owners, and operators of the transmission system in a coordinated, open and transparent transmission planning environment. The RTPP is intended to ensure the long-term reliability of the Bulk Electric System (“BES”) in the FRCC region. However, nothing in this process is intended to limit or override rights or obligations of transmission providers, owners and/or transmission customers/users contained in any rate schedules, tariffs or binding regulatory orders issued by applicable federal, state or local agencies. In the event that a conflict arises between the RTPP and the rights and obligations included in those rate schedules, tariffs or regulatory orders, and the conflict cannot be mutually resolved among the appropriate transmission providers, owners, or customers/users, any affected party may seek a resolution from the appropriate regulatory agencies or judicial bodies having jurisdiction.

2.0 Terms and Definitions

2.1 Long-Term Regional Transmission Planning Horizon

A twenty (20) year planning horizon considered in a Long-Term Regional Transmission Planning cycle.

2.2 Long-Term Regional Transmission Cost Allocation

An ex ante regional cost allocation method for one or more Long-Term Regional Transmission Facilities that is selected in the Long-Term Regional Transmission Plan for purposes of cost allocation, as defined in Section 6.11.

2.3 Long-Term Regional Transmission Facility

A regional transmission facility that meets the requirements of Section 6.6, has been accepted by the FRCC PC to be evaluated, and is identified as part of Long-Term Regional Transmission Planning to address identified Long-Term Transmission Needs.

2.4 Long-Term Transmission Need

A transmission need identified through Long-Term Regional Transmission Planning in accordance with Section 6.5 by, among other things, performing contingency analysis for Long-Term Scenarios and considering enumerated categories of factors in accordance with Section 6.3.

2.5 Long-Term Scenario(s)

Scenarios that incorporate various assumptions using best available data inputs about the future electric power system over a twenty (20)-year transmission planning horizon to identify Long-Term Transmission Needs and enable the identification and evaluation of transmission facilities to meet such transmission needs, in accordance with Section 6.3.

2.6 Long-Term Regional Transmission Plan

A document describing the Long-Term Regional Transmission Facilities selected for purposes of Long-Term Regional Transmission Cost Allocation.

2.7 Long-Term Regional Transmission Planning

Regional transmission planning on a twenty (20)-year planning horizon and comprehensive basis to identify Long-Term Transmission Needs, identify transmission facilities that meet such needs, measure the benefits of those transmission facilities, and evaluate those transmission facilities for potential selection in the Long-Term Regional Transmission Plan for purposes of cost allocation as the more efficient or cost-effective regional transmission facilities to meet identified Long-Term Transmission Needs.

2.8 Qualified Project Developer

A project developer that satisfies the Project Developer Qualification Criteria in accordance with Section 6.3.

Include definition of Stakeholders as a Separate Definition
Types of Stakeholders
- Transmission Customers/Users
- FRCC Members
- FL-PSC
- Public Interest Organizations (Known? – i.e. EDF/SAFE)
- Affected Systems

In FERC Order No. 1920, "stakeholders" are broadly defined as diverse participants across the electric power sector who engage in long-term regional transmission planning. This group includes electric utilities, generation and transmission owners, load-serving entities, state regulators, tribal nations, consumer and environmental advocates, and the public. [1, 2, 3, 4]

Who Stakeholders Include

- **Industry Sectors:** Electric utilities, independent power producers, and alternative technology providers.
- **Government & Tribal Entities:** State utility regulators, state siting agencies, local governments, and tribal nations.
- **Public Interest Groups:** Consumer advocates and environmental organizations.
- **General Public:** Publicly noticed meeting participants in regional planning regions. [1, 2, 3, 4, 5]

2.9 Right-Sized Replacement Transmission Facility

A new transmission facility that would be operating at or above 200 kV and will (a) meet the need to replace an existing transmission facility that Transmission Provider has identified in its In-Kind Replacement Estimate, (b) solve one or more identified Long-Term Transmission Needs, (c) result in more than an incidental increase in the capacity of the existing transmission facility that Transmission Provider has identified in its In-Kind Replacement Estimate, and (d) be located in the same general route as, and/or uses or expands the existing rights-of-way of, the existing transmission facility that Transmission Provider has identified in its In-Kind Replacement Estimate.

2.10 Scenario-Based Benefit-to-Cost Ratio

The benefit-to-cost ratio calculated for each Long-Term Scenario utilizing the total cost or savings of the proposed Long-Term Regional Transmission Facility determined based on the total benefits measured pursuant to Section 6.6 (based on the unweighted benefits measured for each Long-Term Scenario), divided by the total estimated system impact costs of the proposed Long-Term Regional Transmission Facility determined pursuant to Section 6.6.

2.11 Voluntary Funding Parties

The Relevant State Entity and/or Interconnection Customers agreeing to accept a specific percent allocation of the total project cost of a proposed Long-Term Regional Transmission Facility.

2.12 Weighted Aggregate Benefit-to-Cost Ratio

The weighted aggregate cost or savings of the proposed Long-Term Regional Transmission Facility determined based on the total benefits measured pursuant to Section 6.6 (subject to weighting assigned pursuant to Section 6.4) divided by the total estimated system impact costs of the proposed Long-Term Regional Transmission Facility determined pursuant to Section 6.6.

3.0 Background

Provide background for the need and development of this document.

4.0 Applicability (examples shown)

4.1 FRCC Planning Committee

4.2 Enrolled Transmission Providers

4.3 Define Stakeholders/Reference their role appropriately in this document

5.0 Responsibilities

5.1 FRCC Board of Directors (“FRCC Board” or “Board”)

The FRCC Board shall have the responsibility to approve this document and ensure this process is fully implemented.

5.2 FRCC Planning Committee ("FRCC PC")

The FRCC PC is responsible for approving and endorsing the document for FRCC Board approval. The FRCC PC shall direct the Transmission Technical Subcommittee ("TTS"), and the Regional Projects Subcommittee ("RPS") as appropriate, in conjunction with the FRCC Staff, to conduct the necessary studies to fully implement the FRCC 1920 Transmission Planning Process.

5.3 FRCC Transmission Technical Subcommittee ("TTS")

As directed by the FRCC PC, the TTS shall be responsible for supporting the efforts associated with the model development or other duties assigned by the FRCC PC.

5.4 FRCC Regional Projects Subcommittee ("RPS")

As directed by the FRCC PC, the RPS shall be responsible for supporting the efforts associated with the FRCC 1920 Transmission Planning Process or other duties as assigned by the FRCC PC. The RPS is also responsible for this document's review and modification before submitting the document for FRCC PC approval.

Note add Stability Assessment Subcommittee (SAS)

6.0 Policy/Procedure/Process

Introduction paragraph? Example from RTPP section 7.2 p1 below

The BTPP is the process by which transmission providers, FRCC Staff, and other FRCC members identify and evaluate whether there are more efficient or cost-effective regional transmission solutions to regional transmission needs relative to the transmission facilities in the Regional Plan and applies to reliability, economic and public policy regional transmission projects. The regional analysis will be initiated in mid-January of odd-numbered years by the RPS, under the direction of the FRCC PC, and shall utilize the standards, criteria, data, models, methods and studies of the local transmission plans, supplemented as necessary. The regional analysis conducted in the BTPP shall determine if there is a solution meeting CEERTS project criteria that could be proposed for regional cost allocation.

6.1 Overview of Long-Term Regional Transmission Planning Process

Transmission Provider will formulate a Long-Term Regional Transmission Plan each Long-Term Regional Transmission Planning cycle as described in this Attachment. Each Long-Term Regional Transmission Planning cycle considers a twenty (20)-year planning horizon ("Long-Term Regional Transmission Planning Horizon") to commence on the first day of that Long-Term Regional Transmission Planning cycle (the "Commencement Date"). The Long-Term Regional Transmission Planning process is not intended to be a construction plan. This Long-Term Regional Transmission Planning process is intended to identify Long-Term Transmission Needs, identify transmission facilities that meet such needs ("Long-Term Regional Transmission Facility," as further defined in Section 6.6.1 and Section 6.6.2),[1] measure the

[1] For purposes of this Attachment, Long-Term Regional Transmission Facility shall be construed to encompass one or more facilities, irrespective of whether the term appears in singular or plural form.

benefits of those transmission facilities, and evaluate those transmission facilities for potential selection in the Long-Term Regional Transmission Plan for purposes of cost allocation as the more efficient or cost-effective regional transmission facilities to meet Long-Term Transmission Needs.

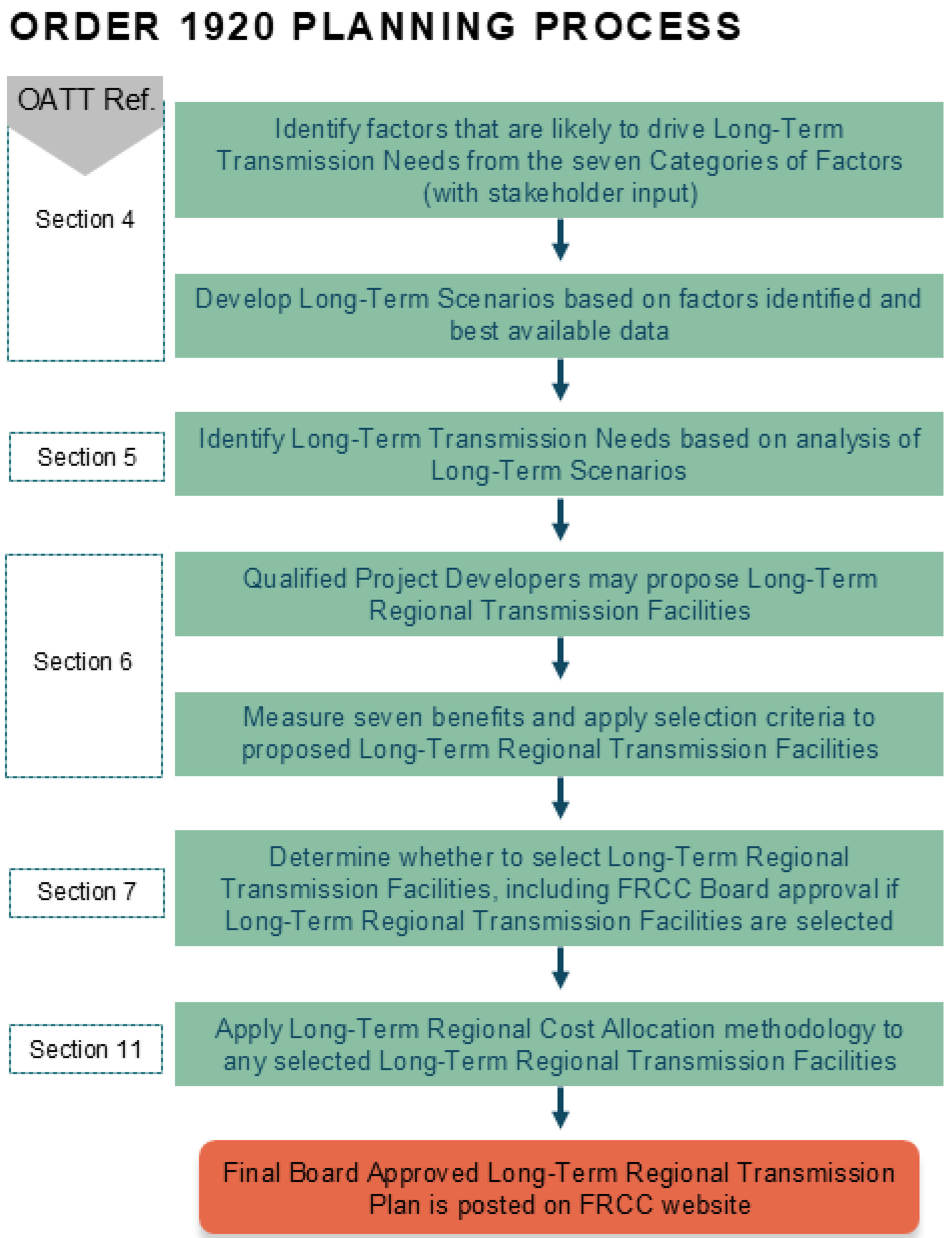
A Long-Term Regional Transmission Planning cycle will be initiated every five (5) years, beginning January 1, 2028, provided that an initial FERC order on Transmission Provider's Order No. 1920 compliance filing has been issued on or before January 1, 2028. This iterative process will produce a revised or reassessed set of Long-Term Scenarios, projecting twenty (20) years into the future from the Long-Term Regional Transmission Planning cycle's Commencement Date. Within three (3) years of the initiation of each Long-Term Regional Transmission Planning cycle, Transmission Provider shall (i) complete the development of the Long-Term Scenarios, (ii) perform at least one sensitivity analysis for each Long-Term Scenario, (iii) identify Long-Term Transmission Needs, if any, and (iv) complete the evaluation and selection process of proposed Long-Term Regional Transmission Facilities to address Long-Term Transmission Needs identified in the Long-Term Regional Transmission Planning cycle.

The Long-Term Regional Transmission Planning cycle begins with the development of Long-Term Scenarios using best available data inputs and consideration of seven (7) categories of factors. Section 6.4 of this Attachment details the methodology that Transmission Provider will use to develop Long-Term Scenarios as part of the Long-Term Regional Transmission Planning process. Section 6.4 also discusses the categories of factors that are considered in the development of Long-Term Scenarios and the process that Transmission Provider will undertake to provide stakeholders, including federally-recognized Tribes and states, a meaningful opportunity to provide input and data.

Section 6.5 describes how Transmission Provider will identify Long-Term Transmission Needs. Section 6.6 describes how proposals of Long-Term Regional Transmission Facilities will be identified, submitted, and reviewed, and how their costs will be estimated. Section 6.6 also describes how Transmission Provider will measure the benefits of proposals of Long-Term Regional Transmission Facilities that address the Long-Term Transmission Needs identified by Transmission Provider. Section 6.7 describes the process by which Transmission Provider will select or not select specific proposed Long-Term Regional Transmission Facilities for purposes of cost allocation. Section 6.11 describes how the Long-Term Regional Transmission Cost Allocation principles will be applied to a Long-Term Regional Transmission Facility selected as the more efficient or cost-effective solution to address identified Long-Term Transmission Needs.

This Attachment describes the opportunities for meaningful stakeholder input throughout the Long-Term Regional Transmission Planning process. The FRCC will provide logistical support for the Order No. 1920 stakeholder process, including posting information on the FRCC website concerning the Order No. 1920 regional and interregional compliance process. These materials include meeting notices, Transmission Provider documents, and stakeholder documents. The FRCC will also provide meeting facilities and webinar support for the stakeholder meetings.

A flowchart of the Long-Term Regional Transmission Planning process is provided below:



6.2 Enrolled Order 1920 Transmission Providers

References to Enrolled Order 1920 Transmission Providers are to the specific transmission provider entities listed below in Section 6.2.1, which are load serving entities that are FRCC members and are enrolled in the FRCC Region (jurisdictional and non-jurisdictional) for purposes of compliance with Order No. 1920 as of the Commencement Date of a Long-Term Regional Transmission Planning cycle. If a transmission provider is listed in Section 6.2.1 at the commencement of a Long-Term Regional Transmission Planning cycle, that transmission provider will be subject to cost allocation pursuant to Section 6.11 for selected Long-Term Regional Transmission Facilities and cannot withdraw before the end of the current cycle to avoid being allocated costs.

6.2.1 The Enrolled Order 1920 Transmission Providers in the FRCC Region are:

- Duke Energy Florida, LLC
- Florida Power & Light Company
- Tampa Electric Company

6.2.2 The enrollment of new transmission providers in the FRCC Region for purposes of Order No. 1920 and the exit of transmission providers from such enrollment will be reflected by Transmission Provider through updates to the above list. New transmission providers must provide written notice of enrollment no later than ninety (90) days prior to the start of the Long-Term Regional Transmission Planning cycle. Regardless of whether a non-public utility transmission provider participates in the FRCC PC,[2] Long-Term Regional Transmission Planning in the FRCC Region shall only consider the needs of those Enrolled Order 1920 Transmission Providers as of the first day of the applicable Long-Term Regional Transmission Planning cycle. Enrolled Order 1920 Transmission Providers can be allocated the costs for a Long-Term Regional Transmission Facility selected in the Long-Term Regional Transmission Plan through the Long-Term Regional Transmission Cost Allocation process set forth in Section 6.11. Participant-funded transmission projects (i.e. where the costs of a new transmission facility are allocated only to entities that volunteer to bear those costs) are outside the scope of Long-Term Regional Transmission Planning conducted under Order No. 1920, except in instances in which Relevant State Entities and/or interconnection customers voluntarily fund Long-Term Regional Transmission Facilities pursuant to the process set forth in Section 6.10. Nothing in the Long-Term Regional Transmission Planning process limits the ability for entities to pursue participant-funded transmission projects.

6.2.3 A non-public utility transmission provider choosing to withdraw its enrollment in the FRCC Region may do so by providing written notification of such intent to Transmission Provider prior to the end of the Long-Term Regional Transmission Planning cycle. A non-public utility transmission provider's withdrawal shall be effective as of the end of the Long-Term Regional Transmission Planning cycle in which the withdrawal was submitted. The withdrawing non-public utility transmission provider will continue to be subject to its Long-Term Regional Transmission Cost Allocation for selected Long-Term Regional Transmission Facilities, if any, that was approved in any Long-Term Regional Transmission Planning cycle in accordance with this Attachment while the non-public utility transmission provider was an Enrolled Order 1920 Transmission Provider. Such withdrawing non-public utility transmission provider shall remain subject to any administrative costs (e.g., consultant fees) of the Long-Term Regional Transmission Planning cycle incurred prior to the effectiveness of the withdrawal.

6.2.4 If a non-public utility transmission provider withdraws its enrollment in the FRCC Region, Transmission Provider shall submit to FERC an update to the list of Enrolled Order 1920 Transmission Providers with a proposed effective date for the relevant tariff record that reflects the effective date of the withdrawal.

[2] 16 U.S.C. § 824(e) (defining public utility as any person who owns or operates facilities subject to FERC's jurisdiction).

6.3 Project Developer Qualification

A project developer must satisfy the Project Developer Qualification Criteria in Appendix 3 of Attachment N-2 to propose Long-Term Regional Transmission Facilities as solutions to identified Long-Term Transmission Needs.

Project developers (both incumbent and non-incumbent project developers) that are submitting a qualification application for the first time must submit the application and a deposit of $50,000 to the FRCC along with the information identified in the Project Developer Qualification Criteria as set forth in Appendix 3 of Attachment N-2. The deposit will be used by the FRCC Board to fund the internal FRCC labor cost for application review, which will be documented, and expenses for the independent consultant for the review described below. Any unexpended amounts from the deposit, including interest, shall be refunded to the project developer. The project developer will be provided with an accounting of the actual costs and how the costs were calculated. Any disputes related to the accounting for specific deposits shall be addressed under the Dispute Resolution Procedures in Appendix 1 of this Attachment. A project developer may be a joint venture or a partnership, in which case a lead representative will be designated in the qualification application. Project developers that already have been found qualified after a review by the FRCC must submit an attestation to maintain their qualification as discussed in Appendix 3 of Attachment N-2. To the extent the FRCC Board has previously determined that an incumbent or non-incumbent project developer has met the Project Developer Qualification Criteria in Appendix 3 to Attachment N-2 and the project developer has completed the attestation review process within the last six (6) months of the beginning of the Long-Term Regional Transmission Planning process, the project developer is deemed to be a qualified project developer for purpose of the Long-Term Regional Transmission Planning process. If sufficient changes, as determined by the FRCC, have been identified in the attestation by a project developer which had previously been qualified, then a deposit of $10,000 to the FRCC will be required during the attestation review process. This deposit will be handled in a similar manner as described above for the initial project developer qualification review.

The FRCC Board will provide for the review of the submitted qualification applications by an independent consultant. The consultant fees will be paid from the deposit made when a project developer qualification application is submitted. The consultant will make a recommendation to the FRCC Board as to whether the Project Developer Qualification Criteria in Appendix 3 to Attachment N-2 have been met. The FRCC Board shall make, on a non-discriminatory basis, a determination as to whether the Project Developer Qualification Criteria have been met. If the FRCC Board determines that the Project Developer Qualification Criteria have not been met, the FRCC PC will notify the project developer of the qualification deficiencies and provide a thirty (30) day period for the project developer to cure the deficiencies. If a project developer does not agree with the FRCC Board's determination, then the Dispute Resolution Procedures in Appendix 1 of this Attachment are available for use by the project developer. The qualification process is a one-time process for each project developer, subject to the attestation review process provided for in Appendix 3 to Attachment N-2.

A project developer that satisfies the Project Developer Qualification Criteria set forth in Appendix 3 of Attachment N-2 is eligible to submit a proposed project for consideration as a Long-Term Regional Transmission Facility.

The timeline for the project developer qualification evaluation process is set forth below.

1. By January 1 of the first year of a Long-Term Regional Transmission Planning cycle, any project developer that seeks to be qualified to develop a Long-Term Regional Transmission Facility during this cycle must submit its qualification application to the FRCC.

2. From January 1 through February 28 of the first year of a Long-Term Regional Transmission Planning cycle, the FRCC PC shall coordinate the review of qualification applications.

3. By February 28 of the first year of a Long-Term Regional Transmission Planning cycle, the FRCC PC will inform project developers that have submitted qualification applications that the FRCC Board has determined they have met the qualification criteria or the FRCC PC will identify deficiencies in the submitted qualification applications.

4. From March 1 through March 30 of the first year of a Long-Term Regional Transmission Planning cycle, project developers will have an opportunity to cure deficiencies and submit modified qualification applications.

5. From April 1 through May 31 of the first year of a Long-Term Regional Transmission Planning cycle, the FRCC Board shall examine the modified qualification applications and make final determinations, and the FRCC PC shall notify project developers that submitted modified qualification applications of the FRCC Board's determinations.

6.4 Scenario Development for Long-Term Regional Transmission Planning

6.4.1 Input from Stakeholders

Transmission Provider will ensure a transparent and collaborative process for the development of Long-Term Scenarios. Transmission Provider will provide a meaningful opportunity for timely stakeholder input on the development of the Long-Term Scenarios by soliciting input through the FRCC via electronic submission and holding stakeholder meetings as needed.

Stakeholders shall submit such input to Transmission Provider consistent with the instructions that will be made available on the FRCC website. Any stakeholder may submit data, including data to reflect factors incorporated into Long-Term Scenarios used to identify Long-Term Transmission Needs. This will provide an opportunity for stakeholders to provide input, which may include proposing potential factors, providing timely input on how and what information to incorporate in the development of Long-Term Scenarios, identifying sources of best available data, proposing how a factor may affect Long-Term Transmission Needs, and explaining how that factor could be reflected in the development of Long-Term Scenarios.

FRCC will accept input via electronic submission beginning thirty (30) days prior to the start of a Long-Term Regional Transmission Planning cycle through the FRCC website. Stakeholders are required to submit input to the FRCC no later than thirty (30) days after the start of the Long-Term Regional Transmission Planning cycle.

6.4.2 Long-Term Scenario Development

Transmission Provider will develop and analyze at least three (3) distinct Long-Term Scenarios using best practices, diverse and expert perspectives, and best available data. Transmission Provider shall use the Long-Term Scenarios to identify Long-Term Transmission Needs and enable the identification, evaluation, and potential selection of proposed Long-Term Regional Transmission Facilities that meet the Long-Term Transmission Needs. When it develops the Long-Term Scenarios, Transmission Provider will assign a probability to each Long-Term Scenario based on its likelihood of occurrence to be used when calculating the Weighted Aggregated Benefit-to-Cost ratio, as set forth in Section 6.6.5.

6.4.2.1 Categories of Factors Included in Development of Long-Term Scenarios

Transmission Provider shall identify and decide how to account for factors that it determines are likely to affect Long-Term Transmission Needs in the development of the Long-Term Scenarios. Transmission Provider will incorporate the following seven (7) categories of factors in the development of Long-Term Scenarios by using factors in the categories to determine the assumptions that will be used in the development of Long-Term Scenarios.

Factor Category One: federal, federally-recognized Tribal, state, and local laws and regulations that affect the future resource mix and demand;

Factor Category One includes, among other things, legally binding obligations, incentives, and/or restrictions promulgated by policy makers that will affect new or existing generators, or demand.

Factor Category Two: federal, federally-recognized Tribal, state, and local laws and regulations on decarbonization and electrification;

Factor Category Two includes legally binding obligations, incentives, and/or restrictions that affect Long-Term Transmission Needs in different ways than Factor Category One.

Factor Category Three: integrated resource plans filed with the FPSC and expected supply obligations for load-serving entities;

Factor Category Four: trends in fuel costs and the cost, performance, and availability of generation, electric storage resources, and building and transportation electrification technologies;

Factor Category Four may include, but is not limited to, cost and technology trends for:

(i) utility-scale generation construction costs for different generating technologies;

(ii) distributed energy resources;
(iii) storage technologies with differing duration limitations;
(iv) carbon capture and sequestration;
(v) small modular nuclear;
(vi) light-, medium-, and heavy-duty electric vehicles and electric vehicle supply equipment; and
(vii) ground- and air-source heat pumps.

Factor Category Five: resource retirements;

Factor Category 5 includes publicly announced resource retirements and resource retirements that have not been publicly announced but might take place over the Long-Term Regional Transmission Planning Horizon. These expected retirements may be accounted for by considering publicly available information such as generating facility ages, emissions profiles, projected costs and revenues, and any applicable laws and regulations that may affect a generating facility's continued operation over the Long-Term Regional Transmission Planning Horizon.

Factor Category Six: generator interconnection requests and withdrawals, and

Factor Category Seven: utility commitments and federal, federally-recognized Tribal, state, and local policy goals that affect Long-Term Transmission Needs, through Long-Term Regional Transmission Planning. For purposes of this Factor Category Seven, utility commitments and federally-recognized Tribal goals are publicly announced utility commitments and publicly announced federally-recognized Tribal policy recommendations.

To account for the inherent uncertainty in long-term transmission planning, Transmission Provider will determine how the factors (or group of similar factors) are likely to affect Long-Term Transmission Needs. Transmission Provider may exercise its discretion to not account for a factor if that factor is unlikely to affect Long-Term Transmission Needs. Based upon this determination, Transmission Provider will prioritize the factors that have been determined most likely to affect Long-Term Transmission Needs in the development of Long-Term Scenarios. Transmission Provider need not account for a factor, stakeholder-identified or otherwise, if it is determined that the factor is unlikely to affect Long-Term Transmission Needs.

Where factors have overlapping effects, Transmission Provider shall avoid double counting the effect those factors have on planning assumptions. Transmission Provider may exceed the minimum requirements of factors in the development of Long-Term Scenarios provided that each Long-Term Scenario remains plausible.

Notwithstanding the foregoing, Transmission Provider shall have the discretion regarding how to account for specific factors in the development of Long-Term Scenarios and how to vary the treatment of each Factor Category across Long-Term Scenarios.

In developing Long-Term Scenarios, Transmission Provider shall assume that legally binding obligations (i.e., federal, federally-recognized Tribal, state, and local laws and regulations) are followed, integrated resource plans filed with the FPSC are followed, and expected supply obligations for load-serving entities are fully met. That is, once Transmission Provider has determined a factor in the first three Factor Categories affects Long-Term Transmission Needs, it shall account for and be consistent with, and not discount such a factor in Factor Categories 1 through 3. Transmission Provider may rely on the open and transparent stakeholder process set forth in Section 6.4.1 to identify the factors in Factor Categories 1 through 3 and may, but is not required to, independently identify all of the factors in Factor Categories 1 through 3.

Transmission Provider shall consider, but has additional discretion, on how to account for the effects of Factor Categories 4 through 7. Due to the uncertainty in Factor Categories 4 through 7, Transmission Provider may choose to discount, or put less weight on, the effects a factor in these categories has on Long-Term Transmission Needs when developing Long-Term Scenarios.

6.4.2.2 Study Case Development of Long-Term Scenarios

The Long-Term Scenarios will consider the seven (7) categories of factors described in Section 6.4.2.1 by using factors in the categories to determine the assumptions that will be used in the development of Long-Term Scenarios. The Long-Term Scenarios may include a study case using the base case Long-Term Scenario as one of the Long-Term Scenarios required by this section if Transmission Provider determines it is the most likely scenario to occur. To ensure a comprehensive analysis, the base case for the Long-Term Scenarios will include the Enrolled Order 1920 Transmission Providers' transmission plans, including known future additions and/or upgrades, and any previously selected Long-Term Regional Transmission Facilities, including those awaiting commissioning. As discussed in Section 6.5, Transmission Provider shall develop two (2) distinct sets of each of the Long-Term Scenarios.

The Long-Term Scenarios will be based on a unique set of assumptions and among the Long-Term Scenarios, the seven (7) categories of factors will be accounted for. Incorporating a category of factors into the development of Long-Term Scenarios does not require exacting precision; Transmission Provider may generalize how all of the discrete factors in a category of factors will, in the aggregate, affect the development of Long-Term Scenarios.

Each of the Long-Term Scenarios shall include a sensitivity analysis to evaluate the impacts of low-frequency, high-impact events, such as extreme weather, on Long-Term Transmission Needs. This analysis shall assess the resilience and reliability of the transmission system under stressed conditions and be incorporated into the Long-Term Scenario results.

Transmission Provider shall conclude the Long-Term Regional Transmission Planning cycle before developing the Long-Term Scenarios for the next Long-Term Regional Transmission Planning cycle.

6.4.2.3 Best Available Data Inputs for Long-Term Scenarios

In the development of the Long-Term Scenarios, Transmission Provider shall use best practices to determine the best available data inputs necessary to develop the Long-Term Scenarios. If Transmission Provider determines that a factor is likely to impact Long-Term Transmission Needs, it shall use best available data when it accounts for that factor in the development of Long-Term Scenarios. Through the process set forth in Section 6.4.1, stakeholders shall have an opportunity to provide timely and meaningful input on the best available data inputs used in the development of the Long-Term Scenarios.

6.4.2.4 Posting of Long-Term Scenarios

After stakeholders have had a meaningful opportunity to propose potential factors and provide inputs on how to account for specific factors in the development of Long-Term Scenarios but before Transmission Provider finishes developing the Long-Term Scenarios or has identified Long-Term Transmission Needs, Transmission Provider will post to the FRCC website, subject to the applicable confidentiality and Critical Energy Infrastructure Information procedures:

a. the list of the factors in each of the seven required categories of factors that Transmission Provider will account for in its Long-Term Scenarios;

b. a description of each factor that Transmission Provider will account for in its Long-Term Scenarios;

c. a general statement explaining how Transmission Provider will account for each of those factors in its Long-Term Scenarios;

d. a description of the extent to which Transmission Provider will discount any factors in Factor Categories 4 through 7 in each Long-Term Scenario;

e. best available data inputs underlying each proposed Long-Term Scenario, including the methodology, criteria, assumptions and data regarding factors and categories; and

f. a list of the factors that Transmission Provider considered but does not intend to incorporate in its Long-Term Scenarios.

In addition, following receipt of input from stakeholders in accordance with Section 6.4.1, Transmission Provider will develop Long-Term Scenarios pursuant to Section 6.4.2.2.

Following acceptance by the FRCC PC of the Long-Term Scenarios, the Transmission Provider shall post the Long-Term Scenarios along with the probability assigned to each Long-Term Scenario to the FRCC website, subject to the applicable confidentiality and Critical Energy Infrastructure Information procedures.

6.4.2.5 Reassessment and Revision of Long-Term Scenarios

Transmission Provider, at the onset of a Long-Term Regional Transmission Planning cycle, shall determine whether to reassess and revise previously used Long-Term Scenarios, and it shall reassess whether the best available data inputs and factors incorporated in previous Long-Term Scenarios need to be updated, as necessary. Transmission Provider shall solicit stakeholder input of the reassessed and revised Long-Term Scenarios in accordance with Section 6.4.1.

6.5 Long-Term Transmission Needs

To comprehensively determine Long-Term Transmission Needs, Transmission Provider shall develop two (2) distinct sets of each of the Long-Term Scenarios. The first set of scenarios will project Long-Term Transmission Needs five (5) years following the end of the current three (3) year Long-Term Regional Transmission Planning cycle, allowing project developers lead time for permitting, material procurement, right-of-way acquisition, and other actions. The second set of scenarios will project Long-Term Transmission Needs in the twentieth (20th) year of the Long-Term Regional Transmission Planning Horizon. This approach enables Transmission Provider to identify more efficient or cost-effective Long-Term Regional Transmission Facilities to address the identified Long-Term Transmission Needs.

6.5.1 Identification of Long-Term Transmission Needs

Following the development and publication of the Long-Term Scenarios, Transmission Provider will identify and characterize Long-Term Transmission Needs, if any, that emerge from the Long-Term Scenarios and will consider both reliability and economic drivers. Transmission Provider retains discretion to determine how specific factors will affect Long-Term Transmission Needs. Transmission Provider will conduct studies to identify Long-Term Transmission Needs. The studies will be performed by removing individual bulk electric system (“BES”) branches from service and determining the impact on the remainder of the transmission grid for each of the developed Long-Term Scenarios. The studies will assess the performance of the transmission system and will account for known future additions and/or upgrades and any previously selected Long-Term Regional Transmission Facilities.

The identification of Long-Term Transmission Needs will specifically focus on reliability and economic regional drivers as follows:

- *Reliability Drivers:* Identifying multiple service territories where the existing or planned transmission system is projected to violate North American Electric Reliability Corporation (“NERC”) System Operating Limit (“SOL”)/Interconnection Reliability Operating Limit

("IROL") criteria under the conditions of each Long-Term Scenario.

- *Economic Drivers:* Identifying opportunities for the transmission system to provide economic benefits. This will include an analysis of the extent to which a Long-Term Scenario creates a non-economic dispatch across the region.

6.5.2 Publication of Long-Term Transmission Needs Determination

Following identification of the Long-Term Transmission Needs and FRCC PC approval of the study report used to identify the Long-Term Transmission Needs, Transmission Provider will publish on the FRCC website, following confidentiality and Critical Energy Infrastructure Information procedures, the following:

- A list and characterization of all identified Long-Term Transmission Needs.

- The results of the study or studies used to identify the Long-Term Transmission Needs.

The identification and characterization of Long-Term Transmission Needs will form the foundation for the subsequent project evaluation and selection phases of the Long-Term Regional Transmission Planning process, ensuring that selected transmission solutions effectively address future Long-Term Transmission Needs of the Enrolled Order 1920 Transmission Providers.

6.6 Identification and Evaluation of Long-Term Regional Transmission Facilities

A project developer that satisfies the Project Developer Qualification Criteria in accordance with Section 6.3 ("Qualified Project Developer") may propose Long-Term Regional Transmission Facilities as solutions to the identified Long-Term Transmission Needs within sixty (60) days from the date of publication required by Section 6.5.2. Proposed Long-Term Regional Transmission Facilities should consider the following types of advanced technologies, and during project evaluation, Transmission Provider will consider whether selecting proposed Long-Term Regional Transmission Facilities that incorporate the following technologies would be more efficient or cost-effective than selecting proposed Long-Term Regional Transmission Facilities or upgrades to existing transmission facilities that do not incorporate these technologies:

- Dynamic line ratings: a transmission line rating that applies to a time period of not greater than one hour and reflects up-to-date forecasts of inputs such as (but not limited to) ambient air temperature, wind, solar heating, transmission line tension, or transmission line sag;

- Advanced power flow control devices: devices that help the system operator control power flows over a given path and can include phase shifting transformers (also known as phase angle regulators) and devices or systems necessary for implementing optimal transmission switching. Advanced power flow control devices allow power to be pushed and pulled to alternate lines with spare capacity leading to maximum utilization of existing transmission capacity;

- Advanced conductors: present and future transmission line technologies whose power flow capacities exceed the power flow capacities of conventional aluminum conductor steel reinforced conductors; and

- Transmission switching: the opening or closing of transmission elements to safely route power and direct flows away from congestion, based on pre-existing forward analysis.

6.6.1 Proposals of Long-Term Regional Transmission Facilities

Proposals of Long-Term Regional Transmission Facilities from Qualified Project Developers must include the following:

1. Transmission project technical information:

    a. Description of the transmission facilities being proposed (*e.g.*, criteria required to be eligible to qualify as a Long-Term Regional Transmission Facility) and demonstration that such transmission facilities being proposed meet the respective design criteria and standards of the utility to which such transmission facilities would be integrated;

    b. Path of the transmission lines;

    c. Identification of third-party impacts; and

    d. Description of detailed integration into the existing transmission system (*e.g.*, substation design, facility ratings (FERC Order 881), breaker configuration, electrical facility design and specifications).

2. Load flow analysis that demonstrates adequate NERC Reliability Standards performance utilizing the FRCC load flow model;

3. Proposed in-service date and alignment with timing of Long-Term Transmission Need(s) the proposed Long-Term Regional Transmission Facility is intended to address;

4. Detailed best available present dollar value cost estimate of the proposed Long-Term Regional Transmission Facility;

5. Description of how the proposed Long-Term Regional Transmission Facility satisfies the requirements of Section 6.6.2; and

6. A high-level summary of who will own, operate, and maintain the proposed Long-Term Regional Transmission Facility, to the extent available.

A deposit of $100,000 shall be submitted with the proposal, which will be used for the costs for the analysis of the proposed Long-Term Regional Transmission Facility and any out-of-pocket expenses such as the fee of independent consultants to analyze the proposed Long-Term Regional Transmission Facility (unexpended amounts shall be refunded, with interest, to the Qualified Project Developer submitting the proposal). The actual costs incurred to analyze the proposed Long-Term Regional Transmission Facility will be borne by the Qualified Project Developer submitting the proposal, and the deposit will be trued up based on the documented cost of the analysis. An accounting of the actual costs of the analysis for the proposed Long-Term Regional Transmission Facility including an explanation of how the costs were calculated will be provided to the Qualified Project Developer submitting the proposal after the analysis has been completed. Any disputes regarding the accounting for specific deposits will be addressed through the Dispute Resolution Procedures in Section 6.12 of the OATT.

If a Qualified Project Developer wishes to submit multiple proposed Long-Term Regional Transmission Facilities within the same Long-Term Regional Transmission Planning cycle, each proposal must be materially different from the Qualified Project Developer's other proposed Long-Term Regional Transmission Facilities. A materially different proposal is one that includes, at a minimum, a different departure or destination substation; in order to be materially different, the proposal must include changes that are more significant than a change in equipment size, different terminal bus arrangement, or a slight change in route, for example.

6.6.2 Eligibility Criteria for Proposed Long-Term Regional Transmission Facilities

A proposed Long-Term Regional Transmission Facility must meet the following criteria:

- A transmission line 230 kV or higher and 15 miles or longer;
- The facility is proposed to cross one or more county lines;
- The facility is proposed to be sited in the service territory of two or more Enrolled Order 1920 Transmission Providers;
- The facility must comply with all applicable NERC reliability standards;
- The facility must address one or more Long-Term Transmission Needs as identified through the Long-Term Regional Transmission Planning process; and
- The facility must be capable of being permitted, financed, and constructed prior to the date that the earliest applicable Long-Term Transmission Need arises.

6.6.3 Review of Proposals of Long-Term Regional Transmission Facilities

The FRCC PC shall review proposals of Long-Term Regional Transmission Facilities and accept proposals that are compliant with Sections 6.6.1 and 6.6.2 for further evaluation of potential benefits.

If Transmission Provider does not receive proposals of Long-Term Regional Transmission Facilities from any Qualified Project Developer within sixty (60) days from the date of publication required by Section 6.5.2, Enrolled Order 1920 Transmission Providers shall identify Long-Term Regional Transmission Facilities within sixty (60) days for review and acceptance by the FRCC PC for purposes of further evaluation of potential benefits. Proposals of Long-Term Regional Transmission Facilities identified by Enrolled Order 1920 Transmission Providers must meet the same requirements of Sections 6.6.1 and 6.6.2.

6.6.4 Benefits Analysis for Proposed Long-Term Regional Transmission Facilities Under Each Long-Term Scenario

Transmission Provider shall measure the benefits listed below for each proposed Long-Term Regional Transmission Facility accepted for further evaluation of potential benefits under each Long-Term Scenario as part of Long-Term Regional Transmission Planning process. A proposed Long-Term Regional Transmission Facility's benefits shall be measured for twenty (20) years from the proposed Long-Term Regional Transmission Facility's estimated in-service date. Transmission Provider shall evaluate facilities for potential selection into the Long-Term Regional Transmission Plan using the required benefits and may not double count any benefits:

6.6.4.1 Benefit 1: Avoided or Deferred Reliability Transmission Facilities and Aging Infrastructure Replacement:

Benefit 1 is defined as the reduced costs due to avoided or delayed transmission investment otherwise required to address reliability needs or replace aging transmission facilities.

Benefit 1 will measure the investment cost of the avoided or deferred reliability transmission facilities and aging transmission infrastructure replacement compared to the investment cost of the proposed Long-Term Regional Transmission Facility that could be implemented to avoid or defer those avoided or deferred investments.

6.6.4.2 Benefit 2: This benefit is characterized and measured as either of the following two options:

2(a): Reduced Loss of Load Probability

Benefit 2(a) is defined as the reduced frequency of loss of load events by providing additional pathways for connecting generation resources with load in regions that can be constrained by weather events and unplanned outages (if the planning reserve margin is not changed despite lower loss of load events), as well as improved physical reliability benefits by reducing the likelihood of load shed events.

Benefit 2(a) will measure reduced loss of load probability for resource adequacy planning, which typically includes the consideration of normal system conditions.

2(b): Reduced Planning Reserve Margin

Benefit 2(b) is defined as the reduction in capital costs of generation needed to meet resource adequacy requirements (i.e., planning reserve margins) while holding loss of load probability constant.

Benefit 2(b) will measure the reduction in capital costs or avoided costs needed to meet the planning reserve margin established and approved by the FPSC, with and without a proposed Long-Term Regional Transmission Facility.

Transmission Provider will determine which of Benefit 2(a) and Benefit 2(b) will be measured and such determination will be posted to the FRCC website when Transmission Provider posts the estimated costs and measured benefits of each proposed Long-Term Regional Transmission Facility that was evaluated by Transmission Provider in accordance with Section 6.6.5.

6.6.4.3 Benefit 3: Production Cost Savings

Benefit 3 is defined as savings in fuel and other variable operating costs of power generation that are realized when transmission facilities allow for displacement of higher-cost supplies through the increased dispatch of suppliers that have lower incremental costs of production, as well as a reduction in market prices as lower-cost suppliers set market clearing prices.

Benefit 3 will be measured using production cost modeling simulations individually studied by each Transmission Provider to compare production costs with and without a proposed Long-Term Regional Transmission Facility.

6.6.4.4 Benefit 4: Reduced Transmission Energy Losses

Benefit 4 is defined as the reduced total energy necessary to meet demand stemming from reduced energy losses incurred in transmittal of power from generation to loads.

Benefit 4 will measure transmission energy losses incurred in the delivery of power to the load with and without a proposed Long-Term Regional Transmission Facility.

6.6.4.5 Benefit 5: Reduced Congestion Due to Transmission Outages

Benefit 5 is defined as reduced production costs resulting from avoided congestion during transmission outages.

Benefit 5 will be measured using the sum of the individual production cost modeling simulations studied by each Transmission Provider to compare congestion costs during outage conditions with and without a proposed Long-Term Regional Transmission Facility. The sum of the individual production cost modeling simulations represents the regional benefit.

6.6.4.6 Benefit 6: Mitigation of Extreme Weather Events and Unexpected System Conditions

Benefit 6 is described as reduced production costs and reduced loss of load (or emergency procurements necessary to support the system), including due to increased Interregional Transfer Capability, during extreme weather events and unexpected system conditions, such as unusual weather conditions or fuel shortages that result in multiple concurrent and sustained generation and/or transmission outages.

Benefit 6 will be measured using the sum of the individual production cost modeling simulations studied by each Transmission Provider and loss of load to account for extreme weather events and unexpected system conditions and Interregional Transfer Capability during extreme weather events and unexpected system conditions resulting in outages with and without a proposed Long-Term Regional Transmission Facility. The sum of the individual production cost modeling simulations represents the regional benefit.

6.6.4.7 Benefit 7: Capacity Cost Benefits from Reduced Peak Energy Losses

Benefit 7 is defined as reduced generation capacity investment needed to meet peak load.

Benefit 7 will measure the reduced resource capacity costs resulting from the reduction in peak energy losses with and without a proposed Long-Term Regional Transmission Facility.

6.6.5 Benefits Analysis Process and Review

For each proposed Long-Term Regional Transmission Facility that has been approved for further evaluation of potential benefits, each of the preceding seven benefits will be calculated for each Long-Term Scenario and summed to determine the weighted aggregated cost or savings of the proposed Long-Term Regional Transmission Facility. The estimated benefits will be weighted in accordance with the probability assigned to each Long-Term Scenario pursuant to Section 6.4.2 to calculate the weighted aggregated cost or savings. The weighted aggregated cost or savings, described in this Section 6.6.5, shall be used in the calculation of the Weighted Aggregate Benefit-to-Cost Ratio as described below:

> Weighted Aggregate Benefit-to-Cost Ratio of a proposed Long-Term Regional Transmission Facility = the weighted aggregate cost or savings of the proposed Long-Term Regional Transmission Facility determined based on the total benefits measured pursuant to Section 6.6.4 (subject to weighting assigned pursuant to Section 6.4.2) divided by the total estimated system impact costs of the proposed Long-Term Regional Transmission Facility determined pursuant to this Section 6.6.5.

In addition, a Scenario-Based Benefit-to-Cost Ratio will be calculated for each Long-Term Scenario, utilizing the total cost or savings of the proposed Long-Term Regional Transmission Facility determined based on the total benefits measured pursuant to Section 6.6.4 (based on the unweighted benefits measured for each Long-Term Scenario), divided by the total estimated system impact costs of the proposed Long-Term Regional Transmission Facility determined pursuant to this Section 6.6.5.

In the event a proposed Long-Term Regional Transmission Facility is expected to cause third-party impacts, Transmission Provider will post to the FRCC website a notice providing sixty (60) days' notice that the affected third-party system may provide Transmission Provider a third-party impact cost estimate to be included in the benefits analysis. In the event a third-party impact cost estimate is not provided, Transmission Provider may utilize its own cost estimate, which may be provided by an independent consultant.

To determine the total estimated system impact costs of the proposed Long-Term Regional Transmission Facility proposals that have been approved for further evaluation of potential benefits, Transmission Provider shall utilize (i) any available estimates of third-party impacts and (ii) the detailed cost estimate provided by the Qualified Project Developer in accordance with Section 6.6.1 with the proposal to establish total estimated costs for the proposed facility, provided that if Transmission Provider determines that any submitted cost estimate is unreasonable, Transmission Provider will document why it made such determination and may utilize its own cost estimate, which may be provided by an independent consultant.

This process will be performed for each proposed Long-Term Regional Transmission Facility for each Long-Term Scenario.

The FRCC PC shall review the benefits analysis and shall provide notice to the FRCC Board once such review is complete. Transmission Provider will post the estimated costs and measured benefits of each proposed Long-Term Regional Transmission Facility that was evaluated by Transmission

Provider on the FRCC website, the proposed Long-Term Regional Transmission Facilities that did not meet or exceed the Weighted Aggregate Benefit-to-Cost Ratio or Scenario-Based Benefit-to-Cost Ratio of 1.25 to 1, and the amount of voluntary funding required to ensure the proposed Long-Term Regional Transmission Facility meets the Weighted Aggregate Benefit-to-Cost Ratio and Scenario-Based Benefit-to-Cost Ratio of 1.25 to 1, subject to the applicable confidentiality and Critical Energy Infrastructure Information procedures, within thirty (30) days of completion of the benefits analysis.

6.7 Selection of Long-Term Regional Transmission Facilities

This selection process will result in the identification of the more efficient or cost-effective proposals using the estimated costs and measured benefits of the proposed Long-Term Regional Transmission Facilities in accordance with the process and criteria set forth in this Section 6.7. Transmission Provider will consider the efficiency and cost-effectiveness of any greenfield Grid Enhancing Technologies and alternate transmission technologies to existing transmission facilities.

6.7.1 Selection Criteria

Transmission Provider will conduct the selection process in coordination with Enrolled Order 1920 Transmission Providers and apply the selection criteria described below to each proposed Long-Term Regional Transmission Facility to ensure the opportunity exists to select in the Long-Term Regional Transmission Plan proposed Long-Term Regional Transmission Facilities that more efficiently or cost-effectively address identified Long-Term Transmission Needs for purposes of cost allocation:

1. **Benefit-to-Cost Ratio**: The Weighted Aggregate Benefit-to-Cost Ratio must be at least 1.25 to 1 and is determined through the benefits analysis process in Section 6.6.5. In addition, the Scenario-Based Benefit-to-Cost Ratio for at least two of the Long-Term Scenarios must be at least 1.25 to 1 and is determined through the benefits analysis process in Section 6.6.5. Transmission Provider may consider whether the estimated total system impact costs calculated pursuant to Section 6.6.5 include costs to mitigate all third-party system impacts.

2. **Effectiveness**: The degree to which the proposed Long-Term Regional Transmission Facility resolves the identified Long-Term Transmission Needs, including elimination of projected SOL/IROL violations and reduction of non-economic dispatch.

3. **Efficiency**: Cost-effectiveness, including consideration of lifecycle costs, scalability, and adaptability.

4. **Resilience**: Contribution to system resilience and flexibility, including under low-frequency, high-impact events, extreme weather, and other stressed system conditions.

5. **Feasibility and Constructability**: Feasibility of project development and capability of the proposed Long-Term Regional Transmission Facility to be permitted, financed, and

constructed prior to the date that the earliest applicable Long-Term Transmission Need arises, including consideration of third-party impacts.

6. **Robustness**: The ability of the proposed Long-Term Regional Transmission Facility to meet and/or exceed the Long-Term Transmission Need.

7. **Public Policy Alignment**: Extent to which the proposed Long-Term Regional Transmission Facility supports federal, federally-recognized Tribal, state, and local public policy requirements.

8. **Timing**: Whether the proposed Long-Term Regional Transmission Facility could be selected in a later Long-Term Regional Transmission Planning cycle based on the construction timeline and the timing of the Long-Term Transmission Need the proposed Long-Term Regional Transmission Facility would address.

In applying the selection criteria, Transmission Provider will seek to maximize benefits accounting for costs over time without over-building transmission facilities.

6.7.2 Selection Determination

A proposed Long-Term Regional Transmission Facility that meets the selection criteria set forth in Section 6.7.1 may be selected by Transmission Provider in the Long-Term Regional Transmission Plan for purposes of cost allocation. However, Transmission Provider is not obligated to select a proposed Long-Term Regional Transmission Facility for regional cost allocation even if the proposed Long-Term Regional Transmission Facility meets the selection criteria and satisfies the identified Long-Term Transmission Needs.

Transmission Provider will make the determination of whether to select a proposed Long-Term Regional Transmission Facility within three (3) years of the beginning of the Long-Term Regional Transmission Planning cycle. Transmission Provider will post to the FRCC website its determination, which will provide sufficient detail for stakeholders to understand why a particular Long-Term Regional Transmission Facility was selected or not selected and will include the estimated costs and measured benefits for each alternative Long-Term Regional Transmission Facility considered in the Long-Term Regional Transmission Planning process, subject to the applicable confidentiality and Critical Energy Infrastructure Information procedures.

Transmission Provider, in coordination with the other Enrolled 1920 Transmission Providers, will also notify the FRCC Board of the determination to select or not select proposed Long-Term Regional Transmission Facilities for purposes of cost allocation. If the Transmission Provider determines to select a proposed Long-Term Regional Transmission Facility for purposes of cost allocation, the Transmission Provider will seek approval by the FRCC Board to include the selected Long-Term Regional Transmission Facility in the Long-Term Regional Transmission Plan.

If Transmission Provider selects a proposed Long-Term Regional Transmission Facility for inclusion in the Long-Term Regional Transmission Plan for purposes of cost allocation, Transmission Provider will post to the FRCC website, subject to the applicable confidentiality and Critical Energy Infrastructure Information procedures, a breakdown of how the estimated costs will be allocated, by Enrolled Order 1920 Transmission Provider, in accordance with Section 6.11 in sufficient detail to allow Enrolled Order 1920 Transmission Providers to understand how the estimated costs will be allocated.

If a selected Long-Term Regional Transmission Facility requires upgrades to an Enrolled Order 1920 Transmission Provider's existing facilities, that Enrolled Order 1920 Transmission Provider retains a right-of-first refusal to build those portions of the Long-Term Regional Transmission Facility. As used in this section, the term "upgrade" means an improvement to, addition to, or replacement of a part of an existing transmission facility; the term does not refer to an entirely new transmission facility. Nothing herein affects an Enrolled Order 1920 Transmission Provider's rights under state law with regard to its real property (including rights of way and easements).

If a proposed Long-Term Regional Transmission Facility is selected in the Long-Term Regional Transmission Plan for purposes of cost allocation, the project developer of the selected Long-Term Regional Transmission Facility is obligated to provide Transmission Provider with timely updates as to the development status of the Long-Term Regional Transmission Facility, as described in Section 6.12 below.

Disputes over the selection of a Long-Term Regional Transmission Facility may be raised through the Dispute Resolution Procedures in Section 6.12 of the OATT.

6.8 Right Sizing

Transmission Provider must provide an In-Kind Replacement Estimate for use in the Long-Term Regional Transmission Planning cycle to the Enrolled Order 1920 Transmission Providers prior to the deadline for the submission of proposals for Long-Term Regional Transmission Facilities pursuant to Section 6.6. Transmission Provider shall evaluate whether any facilities listed on an Enrolled Order 1920 Transmission Provider's In-Kind Replacement Estimate during a Long-Term Regional Transmission Planning cycle could be right-sized to address any identified Long-Term Transmission Needs. Transmission Provider will perform this evaluation when it considers proposals for Long-Term Regional Transmission Facilities submitted pursuant to Section 6.6.1. Transmission Provider may select Right-Sized Replacement Transmission Facilities as potential solutions to identified Long-Term Transmission Needs in the same manner as other proposed Long-Term Regional Transmission Facilities, consistent with Sections 6.6, 6.7, and 6.11. If a facility listed as an In-Kind Replacement Estimate is selected for right-sizing, the Enrolled Order 1920 Transmission Provider that submitted the In-Kind Replacement Estimate has a right of first refusal to develop the associated Right-Sized Replacement Transmission Facility that would replace the existing transmission facility. This right of first refusal extends to any portion of the Right-Sized Replacement Transmission Facility located within that Enrolled Order 1920 Transmission Provider's retail distribution service territory or footprint.

6.9 Reevaluation of Selected Long-Term Regional Transmission Facilities

To ensure Long-Term Regional Transmission Facilities selected for the Long-Term Regional Transmission Plan for purposes of cost allocation continue to meet the selection criteria, Transmission Provider shall reevaluate during each subsequent Long-Term Regional Transmission Planning cycle any Long-Term Regional Transmission Facility that was previously selected in a Long-Term Regional Transmission Plan if any of the three (3) criteria in Section 6.9.2 are satisfied. To perform any required reevaluation analysis, updated Long-Term Scenarios and associated transmission system models that are developed for the Long-Term Regional Transmission Planning cycle in which Transmission Provider reevaluates the selected Long-Term Regional Transmission Facility shall be used. Transmission Provider will seek to maximize benefits accounting for costs over time without over-building transmission facilities.

6.9.1 Timing of Reevaluation

If a Long-Term Regional Transmission Facility selected for inclusion in the Long-Term Regional Transmission Plan for purposes of cost allocation is reevaluated due to a cost increase or change in law or regulation, the reevaluation must occur within a subsequent Long-Term Regional Transmission Planning cycle using the models and Long-Term Scenarios for that current cycle and considering cost increases, policy changes, and updated benefits.
Long-Term Regional Transmission Facilities selected in the Long-Term Regional Transmission Plan for purposes of cost allocation will be subject to reevaluation until all the following conditions have been met:

- State and federal approval processes completed and approved;
- All local, state and federal siting permits have been received;
- Major construction contracts have been executed;
- All required rights-of-ways for the project route are obtained; and
- All long-lead construction material has been ordered.

6.9.2 Criteria Triggering Reevaluation

Transmission Provider will require reevaluation of any previously selected Long-Term Regional Transmission Facilities in the three (3) circumstances outlined below.

6.9.2.1 Development Delays that Jeopardize Reliability

A Long-Term Regional Transmission Facility selected in a prior Long-Term Regional Transmission Plan must be reevaluated if there are delays in the development of a previously selected Long-Term Regional Transmission Facility that would jeopardize Transmission Provider's ability to meet its reliability needs or reliability-related service obligations. Reevaluation for development delays that jeopardize reliability will be required if there are material delays in obtaining required approvals, permits, materials, equipment, scheduling, or rights-of-way that may delay the target in-service date for the Long-Term Regional Transmission Facility by three (3) months or more.

6.9.2.2 Significant Cost Overruns

A Long-Term Regional Transmission Facility selected in a prior Long-Term Regional Transmission Plan must be reevaluated if the actual or projected costs of a previously selected Long-Term Regional Transmission Facility significantly exceed the cost estimates that were used in the selection of such Long-Term Regional Transmission Facility. Reevaluation for significant cost overruns will be required where updated cost estimates compared to previously determined benefits would result in any Benefit-to-Cost Ratio of less than 1.25 to 1. Reevaluation for significant cost overruns may occur where updated cost estimates compared to updated benefits measured in accordance with Section 6.6.4 would result in a Benefit-to-Cost Ratio of less than 1.25 to 1. Reevaluation under this criterion must occur in a subsequent planning cycle to the cycle in which the Long-Term Regional Transmission Facility was selected.

6.9.2.3 Material Regulatory Changes:

A Long-Term Regional Transmission Facility selected in a prior Long-Term Regional Transmission Plan must be reevaluated if significant changes in federal, federally-recognized Tribal, state, or local laws or regulations cause reasonable concern that the Long-Term Regional Transmission Facility may no longer meet Transmission Provider's selection criteria set forth above in Section 6.7.1 if during the Long-Term Regional Transmission Planning cycle in which Transmission Provider selected the Long-Term Regional Transmission Facility, the targeted in-service date of the Long-Term Regional Transmission Facility was in the latter half of the twenty (20)-year Long-Term Regional Transmission Planning Horizon for Long-Term Regional Transmission Planning cycle in which it was selected. Reevaluation under this criterion must occur in a subsequent planning cycle to the cycle in which the Long-Term Regional Transmission Facility was selected.

6.9.3 Procedures and Potential Outcomes of Reevaluation:

If Transmission Provider determines that a previously selected Long-Term Regional Transmission Facility is subject to reevaluation, Transmission Provider shall notify the project developer in writing that the reevaluation has commenced, including the grounds for commencing the reevaluation and a brief description of the changed circumstances.

Reevaluation of a previously selected Long-Term Regional Transmission Facility will ensure that the facility continues to meet the selection criteria outlined in Section 6.7. Reevaluation will consider updated benefits of the Long-Term Regional Transmission Facility in addition to updated costs. Potential outcomes of this reevaluation process may include:

- No Action: The previously selected Long-Term Regional Transmission Facility continues to meet the selection criteria and remains in the Long-Term Regional Transmission Plan for purposes of cost allocation.

- Remain With Modifications: The previously selected Long-Term Regional Transmission Facility may remain in the Long-Term Regional Transmission Plan for purposes of cost allocation with the following modifications that address the grounds for reevaluation:

    - The previously selected Long-Term Regional Transmission Facility may be subject to modifications that impact the scope, cost, or timing of the previously selected Long-Term Regional Transmission Facility;

    - The previously selected Long-Term Regional Transmission Facility may be subject to new or additional mitigation, the cost of which will be added to the project cost; or

    - The previously selected Long-Term Regional Transmission Facility may be reassigned to a different project developer, which will be evaluated to determine whether such change in project developer will impact the scope, cost, or timing of the previously selected Long-Term Regional Transmission Facility.

    Such modifications will be evaluated, and any changes or additional costs will result in the recalculation of the Weighted Aggregate Benefit-to-Cost Ratio and Scenario-Based Benefit-to-Cost Ratio to determine if the previously selected Long-Term Regional Transmission Facility still meets the selection criteria.

- Removal: The previously selected Long-Term Regional Transmission Facility may be removed from the Long-Term Regional Transmission Plan for purposes of cost allocation. Removal may occur if the project developer is no longer developing the previously selected Long-Term Regional Transmission Facility, or the previously selected Long-Term Regional Transmission Facility no longer meets the selection criteria. Transmission Provider may remove the previously selected Long-Term Regional Transmission Facility from the Long-Term Regional Transmission Plan as eligible for cost allocation if Transmission Provider (i) reasonably concludes that the Long-Term Transmission Need(s) that the previously selected Long-Term Regional Transmission Facility was selected to address can be addressed in the next Long-Term Regional Transmission Planning cycle and Transmission Provider intends to consider those Long-Term Transmission Need(s) during the next Long-Term Regional Transmission Planning cycle; (ii) reasonably requests a modification or change to the previously selected Long-Term Regional Transmission Facility but the project developer does not agree to the requested modification or change; or (iii) determines that a change in law, regulation, or other applicable requirement removes the Long-Term Transmission Need(s) leading to the selection of the previously selected Long-Term Regional Transmission Facility and either the previously selected Long-Term Regional Transmission Facility would no longer satisfy the selection criteria or without that Long-Term Transmission Need, the previously selected Long-Term Regional Transmission Facility would not have been selected.

Transmission Provider shall inform the project developer of the outcome of the reevaluation process in writing, post a description of the reevaluation outcome on the FRCC website, including the reasons for the outcome, and implement the chosen reevaluation outcome.

6.10 Voluntary Funding Option and Processes for Relevant State Entities and Interconnection Customers

If a proposed Long-Term Regional Transmission Facility is not deemed to satisfy the selection criteria set forth in Section 6.7.1 for selection in the Long-Term Regional Transmission Plan solely based on the Weighted Aggregate Benefit-to-Cost Ratio or the Scenario-Based Benefit-to-Cost Ratio being less than 1.25 to 1, the Transmission Provider will provide Relevant State Entities and Interconnection Customers the opportunity to voluntarily fund all, or a portion, of the cost of such Long-Term Regional Transmission Facility.

Relevant State Entities and Interconnection Customers will have sixty (60) days from the date of the posting required under Section 6.6.5 to submit to Transmission Provider a written notice of election signed by the Relevant State Entity and/or Interconnection Customers agreeing to accept a specific percent allocation of the total project cost of a proposed Long-Term Regional Transmission Facility ("Voluntary Funding Parties"). If Transmission Provider receives such notice of election, Transmission Provider may, but is not obligated to, select the proposed project as a Long-Term Regional Transmission Facility. If the proposed project is selected as a Long-Term Regional Transmission Facility, Transmission Provider shall memorialize the selection in a separate agreement and may require the Voluntary Funding Parties to provide a demonstration of creditworthiness and/or sufficient security in a form reasonably acceptable to the Transmission Provider to ensure the Voluntary Funding Parties' financial ability to pay for the agreed-to allocation of costs.

6.11 Cost Allocation for Long-Term Regional Transmission Facilities

If a proposed Long-Term Regional Transmission Facility is selected to meet an identified Long-Term Transmission Need and is approved by the FRCC Board to be included in the Long-Term Regional Transmission Plan for purposes of cost allocation, Transmission Provider will apply the Long-Term Regional Transmission Cost Allocation methodology provided in this Section 6.11. The costs of the selected Long-Term Regional Transmission Facility will be allocated to Transmission Provider and each other Enrolled Order 1920 Transmission Provider within the FRCC Region in proportion to the benefits calculated for each Enrolled Order 1920 Transmission Provider pursuant to Section 6.6.4 using the following formula:

> Cost allocation percentage (%) to Enrolled Order 1920 Transmission Provider = total dollar value of all benefits calculated pursuant to Section 6.6.4 for the Enrolled Order 1920 Transmission Provider divided by total dollar value of all benefits for all Enrolled Order 1920 Transmission Providers

The cost allocation percentage (%) to the Enrolled Order 1920 Transmission Provider shall be multiplied by the cost of the selected Long-Term Regional Transmission Facility to determine total costs assigned to each Enrolled Order 1920 Transmission Provider.

For example, if Enrolled Order 1920 Transmission Provider X would receive $300 million in benefits from a selected Long-Term Regional Transmission Facility that would provide $500 million in benefits, Enrolled Order 1920 Transmission Provider X would be allocated 60% of the cost of the facility. If the selected Long-Term Regional Transmission Facility has a cost of $400 million, Enrolled Order 1920 Transmission Provider X would be allocated $240 million.

This Long-Term Regional Transmission Cost Allocation methodology will apply unless utilities enrolled in other transmission planning regions voluntarily assume costs or the voluntary funding provisions in Section 6.10 are used. In such an event, the cost allocation percentage to the Enrolled Order 1920 Transmission Provider will be multiplied by the cost of the selected Long-Term Regional Transmission Facilities, as adjusted by the voluntarily assumed costs.

Following the calculation of the cost allocation for a selected Long-Term Regional Transmission Facility, Transmission Provider will post on FRCC's website a summary of how the project costs will be allocated along with a reasonable estimate of the quantified benefits imputed to each Enrolled Order 1920 Transmission Provider.

At least thirty (30) days prior to submitting an amendment to the Long-Term Regional Transmission Cost Allocation methodology set forth in this Section 6.11, Transmission Provider will consult with the Relevant State Entity. Appropriate communications will be provided to the FPSC, as necessary.

6.12 Project Development Schedule for Long-Term Regional Transmission Facility

Transmission Provider will not be responsible for managing the development of any Long-Term Regional Transmission Facility selected for cost allocation unless Transmission Provider is the project developer. However, after selecting a Long-Term Regional Transmission Facility for cost allocation, Transmission Provider will monitor the status of the development of the selected Long-Term Regional Transmission Facility.

The project developer of a Long-Term Regional Transmission Facility selected for cost allocation must submit a development schedule that provides the required steps necessary to develop and construct the Long-Term Regional Transmission Facility such that it meets the Long-Term Transmission Needs. Such project developer shall prepare an annual report to Transmission Provider regarding the status of developing the selected Long-Term Regional Transmission Facility on or before January 1 of each year following the year in which the developer was selected to construct the Long-Term Regional Transmission Facility. The annual report must provide an update on the status of the selected Long-Term Regional Transmission Facility and must be submitted until the selected Long-Term Regional Transmission Facility reaches commercial operation. The annual report must provide project development status, updates to the expected costs of the selected Long-Term Regional Transmission Facility, the projected in-service date, milestones achieved, and any other material information that Transmission Provider may reasonably request. If there are material changes to the information provided in the annual report, the project developer of the selected Long-Term Regional Transmission Facility must provide timely updates to the Transmission Provider. Upon Transmission Provider's request for the project developer to provide additional data or information regarding the progress of developing the Long-Term Regional Transmission Facility selected for cost allocation, the project developer must provide the requested data or information within thirty (30) days, subject to extension by mutual agreement.

6.13 Template for formatting additional sections

6.13.1 Subtitle 1.1.1 format.

6.13.1.1 Subtitle 1.1.1.1 format.
6.13.1.2 Subtitle 1.1.1.1 format.

7.0 Document Distribution/Notification Requirements

7.1 Distribution/Notification Timeframe

7.2 NERC Required Distribution/Notification List

7.3 Additional Distribution/Notification List

8.0 References

8.1 *Title of any procedures referenced.*

8.2 NERC Standard TOP-###

8.3 NERC Standard IRO-###

9.0 Attachments

9.1 Attachment A: Attachment Name

10.0 Review and Modification History

Review and Modification Log			
Date	Version Number	Description of Review or Modification	Sections Affected
	1	New Procedure	All

11.0 Disclaimer

The information, analysis, requirements and/or procedures described herein are not intended to be fully inclusive of all activities that may support compliance to a specific NERC Reliability Standard referenced or implied within the document. Nevertheless, it is the FRCC entities' and other users' responsibility to ensure the most recent version of this document is being used in conjunction with other applicable procedures, including, but not limited to, the applicable NERC Reliability Standards as they may be revised from time to time.

The use of this information in any manner constitutes an agreement to hold harmless and indemnify FRCC and FRCC Member Systems, and FRCC Staff, FRCC Committees and FRCC Member Employees from all claims of any damages. In no event shall FRCC and FRCC Member Systems, and FRCC Staff and FRCC Member Employees be liable for actual, indirect, special or consequential damages in connection with the use of this information.

Attachment A: Name of Attachment